

Regan and told him, “I don’t know what is going to happen here. I am willing to run the whole operation until this is all over. If you and the other defendants are willing to step down now, assuming you are acquitted, I will be happy to reinstate all of you at the same terms, and I will put that in writing if you like.”

But there was absolutely no response. It was like I was talking to a deaf man. I decided this was not the type of relationship I wanted to continue in. The partnership closed shortly afterward except for winding down the existing positions.

Did you think of restarting the fund on your own?

I didn’t want to do all the stuff that was involved in running a hedge fund; that was why I got a partner to run the business side in the first place. I also wanted a little bit of time out.

What happened after Princeton Newport Partners shut down?

I kept a small staff in the Newport Beach office. During 1990 and 1991, we primarily traded Japanese warrants, which was very profitable until the dealers began dramatically widening the spreads on us. The trades might have had a 30 percent profit potential, but the bid/ask spreads became so wide that the transaction costs were 15 percent. So we had to give it up as a strategy.

Then I heard that statistical arbitrage was doing well, and one of my largest previous investors wanted me to resurrect it as an investable strategy. In 1992, we restarted the strategy. It only made about 5 percent or 6 percent in that first year, but we were encouraged because it seemed that there was no reason other than random fluctuation for the below-normal return that year.

How did the strategy perform in the intervening years after the closing of Princeton Newport Partners when you weren’t trading it?

The period between 1989, when we closed Princeton Newport Partners, and August 1992, when we restarted statistical arbitrage, would have been good. We happened to restart trading in a low spot for the strategy, but we stayed with it, and the performance got better and better. For the approximate 10 years we ran the program, returns before fees and